Blurt sheet - Unit 3.5 Financial management

AQA A-LEVEL BUSINESS 7132

3.5.1 Financial objectives

- **Financial objectives named by AQA:** revenue, costs, profit, cash flow, investment (capital expenditure) levels, capital structure
- **Return on investment (ROI):** profit from investment ÷ cost of investment × 100
- **Capital expenditure:** spending on non-current assets such as machinery
- **Capital structure:** the mix of debt and equity used to finance the business
- **Value:** give a target to aim for and a way to judge performance
- **Influences:** corporate objectives, the economy, competition, shareholders

3.5.1 Cash flow and profit

- **Cash flow:** money coming into and going out of the business over time
- **Profit:** revenue minus costs over a period
- **Why they differ:** credit sales, credit from suppliers, buying stock and assets, loans and new shares
- **A profitable business can run out of cash:** e.g. customers pay late or stock builds up
- **A loss-making business can have cash:** e.g. after borrowing or selling assets
- **Trap:** borrowing increases cash but not profit

3.5.1 The three measures of profit

- **Gross profit:** revenue − cost of sales
- **Operating profit:** gross profit − operating expenses
- **Profit for the year:** operating profit − net finance costs − tax
- **Cost of sales:** direct costs of the goods sold
- **Operating expenses:** other running costs, e.g. rent, salaries, marketing
- **Trap:** operating expenses are not operating profit

3.5.2 Budgets

- **Budget:** a financial plan for a future period
- **Income budget:** expected revenue
- **Expenditure budget:** expected costs
- **Profit budget:** income budget − expenditure budget
- **Value of budgeting:** planning, control, coordination, motivation, delegation of responsibility
- **Difficulties:** hard to forecast, can be inflexible, may be set unrealistically
- **Zero-based budgeting:** every item must be justified from scratch each year

3.5.2 Variances

- **Variance:** difference between budgeted and actual figures
- **Favourable variance:** better for profit than planned, e.g. higher revenue or lower costs
- **Adverse variance:** worse for profit than planned, e.g. lower revenue or higher costs
- **Trap:** costs above budget are adverse, not favourable
- **Causes of variances:** changes in demand, prices, costs or efficiency
- **Using variances:** find the cause before acting

3.5.2 Cash flow forecasts

- **Cash flow forecast:** predicted cash inflows and outflows over a period
- **Net cash flow:** cash inflows − cash outflows
- **Closing balance:** opening balance + net cash flow
- **Opening balance:** last month's closing balance
- **Receivables:** money owed to the business by customers
- **Payables:** money the business owes to suppliers
- **Value:** shows when finance may be needed, e.g. an overdraft
- **Difficulties:** forecasts rely on estimates of sales and timing

3.5.2 Contribution and break-even output

- **Contribution per unit:** selling price − variable cost per unit
- **Total contribution:** total revenue − total variable costs
- **Break-even output:** fixed costs ÷ contribution per unit
- **Profit:** total contribution − fixed costs
- **Trap:** contribution is not profit until fixed costs are covered
- **Trap:** a rise in fixed costs raises break-even output but does not change contribution per unit

3.5.2 Break-even charts and margin of safety

- **Break-even chart:** shows total revenue, total costs and fixed costs against output
- **Break-even point:** where total revenue equals total costs
- **Margin of safety:** actual output − break-even output (in units)
- **Trap:** margin of safety is measured in units, not pounds
- **Higher price:** contribution rises, break-even output falls
- **Higher fixed costs:** break-even output rises
- **Higher variable costs:** contribution falls, break-even output rises
- **Limitations:** assumes all output is sold and costs and prices stay the same

3.5.2 Profitability

- **Gross profit margin:** gross profit ÷ revenue × 100
- **Operating profit margin:** operating profit ÷ revenue × 100
- **Profit for the year margin:** profit for the year ÷ revenue × 100
- **Margin v profit:** profit can rise while the margin falls if revenue rises faster
- **Using margins:** compare over time and with rivals
- **Improving margins:** raise prices or cut costs relative to revenue

3.5.3 Choosing sources of finance

- **Internal source:** money from inside the business, e.g. retained profit
- **External source:** money from outside, e.g. loans or share capital
- **Retained profit:** profit kept in the business rather than paid as dividends
- **Retained profit benefits:** no interest, no loss of control
- **Retained profit drawbacks:** limited amount; may already have been spent on assets
- **Short-term finance:** for day-to-day needs and cash gaps
- **Long-term finance:** for large investments such as new premises or machinery
- **Matching:** use short-term finance for short-term needs and long-term finance for long-term needs

3.5.3 External sources of finance

- **Sources named by AQA:** debt factoring, overdrafts, retained profit, share capital, loans, venture capital, crowdfunding
- **Short-term:** overdrafts, debt factoring
- **Long-term:** loans, share capital, venture capital, crowdfunding
- **Overdraft:** flexible borrowing up to a limit; high interest
- **Debt factoring:** selling receivables to a factor for immediate cash, minus a fee
- **Loan:** fixed sum repaid with interest over time
- **Share capital:** no repayment or interest but dilutes ownership
- **Venture capital:** investment in a risky, young business for a share of ownership
- **Crowdfunding:** raising small amounts from many people, usually online

3.5.4 Improving cash flow

- **Methods:** factoring, sale and leaseback, better working capital control, reduce stock, chase debtors, delay paying suppliers
- **Sale and leaseback:** sell an asset and rent it back
- **Reduce receivables:** shorter credit terms or chase late payers
- **Delay payables:** ask suppliers for longer credit
- **Difficulties:** may upset customers or suppliers; factoring reduces profit
- **Trap:** improving cash flow does not always improve profit

3.5.4 Improving profit and profitability

- **Raise revenue:** higher prices or more sales
- **Cut costs:** cheaper suppliers, less waste, higher productivity
- **Difficulties:** higher prices may cut sales; cheaper inputs may lower quality
- **Price rise with inelastic demand:** revenue and profit likely to rise
- **Cutting costs:** may damage morale or reputation if done badly
- **Profitability:** improving margins, not just the level of profit